

Macau Wallet Recovery — Position Selection

SignalOS desk · 2026-08-11 · companion to MACAU_WALLET_PITCH_DECK_20260810 · all seven courts adjudicated

THE VERDICT BOARD — SEVEN COURTS, ONE SURVIVOR PER CLASS

Vehicle	Court outcome	What survived
LVS	ADVANCE, reduced (7/10) — the cohort's only cleared entry	Starter $\leq 0.5\times$ sleeve gated on Aug GGR $\geq \sim$MOP21bn (Sept 1) ; tranche 2 on Q3 hold normalization; hard stop on any successor-trust share sale
WYNN	FLAT both directions (8/10)	Cash entry gated (Sept-1 positive + mass hold $\leq 26\%$; \$88–90 price gate). The Oct call spread is the sanctioned pre-gate expression — a timing tranche, not a cash entry. Palace's 110 hold quarter = open question to the company
Galaxy 0027	FLAT into tomorrow's print (7/10); RP_FAIR remanded	7.4% earnings yield, 1.64 $\times$ -covered dividend, HK\$36.5bn net cash — four gates at the 8/12 interim (volume up, hold decomposed, DPS $\geq$ HK\$0.70, investments breakout) + comp table $\rightarrow$ 0.4% carry envelope
Sands 1928	REJECT (8/10)	The cohort's true volume winner (drop +15%) — but carry 2.6% fails the 3.5% bar; covered+crowded; re-court Sept 1 / Q3
Wynn Macau 1128	REJECT (8/10)	Torque leg dead: volume soft (VIP -32%), dividend blocked by concession capex at 3.7 $\times$ leverage; reopen only via the 8/19 interim trigger
MSC	FLAT, three-condition gate	Wednesday 8/13: volume $\geq$ \$958M AND hold $\leq 34.5\%$ AND EBITDA $\geq$ \$76M — pass = the levered-stub option; volume declines = kill
MLCO	triage re-running	At its 52-week low while the cohort bounced; options barred (98th-ptile IV); stock-only if the cause-check clears

THE POSITION OPTIONS, SCORED

Option	Timing-edge capture	Court status	Convexity	Max loss	Carry while waiting	Defect load
A — WYNN Oct 105/115 call spreads, now THE PICK	Only option that monetizes the decaying edge — established before the Monday checks convert 0.72 into consensus	Sanctioned as the pre-gate tranche	2.5–3.5 $\times$ on the gate + tape	Premium only ($\sim 0.25\text{--}0.3\%$ of book)	Theta (the cost of the seat)	Bounded sector beta; IV at the year's floor
B — LVS starter at the Sept-1 gate	None — enters at the evidence	Court-cleared (the only one)	Linear	Starter drawdown	$\sim 1.7\%$ yield	Trust overhang (hard-stopped), MBS ex-hold uncrosschecked
C — Galaxy RP_FAIR carry after tomorrow	None — post-print	Remanded; 4 gates + comps	None (carry class)	0.4% cap drawdown	$\sim 4.6\%$ yield, net-cash balance sheet	Volume below market on new capacity (edge leg dead)
D — MSC post-Wednesday gate	None	Hard 3-condition gate	Highest (levered stub)	Full position	None	Volume-share loser; 2032 clock; 6.4 $\times$ leverage
E — do nothing until Sept 1	Forfeits it entirely	—	—	—	—	The frozen call still grades our skill

The pick, and why: Option A is the only structure whose value depends on **when** we act, and the courts themselves defined why: every cash vehicle is gated on evidence arriving September 1 or later, while the evidence leaks publicly every Monday — by late August the market will have read the same checks we did. The Oct 105/115 spread converts our two-to-three-week information lead into defined-risk convexity (~\$2.84 model cost, pays \$7–10 in the courts' own \$112–118 re-rate zone), expires before Wynn's earnings, and cannot lose more than ~30bps of book. **Options B and C are not competitors — they are gated follows on different dates** (B pre-committed for the Sept-1 print via its armed pack; C decided by tomorrow night's Galaxy gates). If the desk takes exactly one action today, it is A.

EXECUTION CONDITIONS & KILL RULES

To stage A: (1) principal ratifies that net-*debit* spreads sit outside the no-premium-selling rule (they pay premium; they don't harvest it); (2) live option quotes at Tuesday's US open re-anchor the model prices — limit at mid, no chase beyond ~\$3.20/spread (keeps the 2.2×+ floor at \$112); (3) size 8–10 spreads ≈ 0.25–0.3% of book premium. **Kills:** mid-August daily-rate checks fading → no adds, review; Sept-1 ≤ +1.3% → exit remaining value, frozen call grades UNFAVORABLE, sleeve closes; any China-enforcement escalation post-tournament → the chill hypothesis revives, stand down.

THIS WEEK, HOUR BY HOUR

When	Event	Decision it feeds
Tue 8/11 (US open)	Live WYNN option quotes; chain endpoint recovery	Stage A (post-ratification)
Tue 8/12	Galaxy interim + dividend · Melco/MLCO print window	Option C's four gates; MLCO cause-check completion
Wed 8/13	MSC Q2 (confirmed) · Entain interims · ARX rides (US book)	Option D's gate; the sportsbook control group's first read
Thu–Fri 8/14	Sands net-debt patch · Hyundai half-year (KR sleeve) · PA/NJ July tables ~this week	Domestic mean-reversion confirmation
Mon cadence	JPM/Citi daily-rate checks	The edge-decay clock; fade = early warning
Mon 9/1	DICJ August GGR — the gate	Grades the 0.72 call, triggers Option B, unlocks WYNN cash re-court

Prices: WYNN spread costs are model-theoretical at the live 30.7% IV surface (chain endpoint outage; re-anchor at open). Courts: seven adjudicated verdicts + artifacts in desk/data/court_artifacts/. Empirical basis: 607-quarter hold decomposition (desk/data/macau_hold_series.json) — no cohort hold anomaly; volume thesis unaffected. Frozen call MACAU-GGR|2026-09-01 our_p 0.72. Palette: Stora Enso-inspired (deep forest / leaf on paper) per principal request.